

Ref: Directive 147.A.i (LT)

DIRECTIVE
FINANCIAL SERVICES BOARD
REPUBLIC OF SOUTH AFRICA



LONG-TERM INSURANCE ACT, 1998 (ACT 52 OF 1998) (The Act)

Addressee:	Long-term insurers		File:	10/17/1 & 10/11/2/2/1	
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3 rd	-	-	-	-	-
Subject:	Governance of Discretionary Participation Business				

1. Purpose

1.1 Discretionary participation products (DPP) have certain features that normally include some or all of the features below:

- using premiums to invest in a pooled fund made up of a range of assets, a significant proportion of which are usually in the form of equities;
- 'smoothing' the allocations to policies (bonuses) to cushion policyholders from short-term fluctuations in asset prices or other possible experience variations;
- for some products, sharing in certain of the profits or losses of the insurer, including those arising from mortality and expense risks, and any distributions and/or income from the inherited estate¹;
- certain guarantees, which usually increase over the lifetime of the policy (for example the payment of vesting bonuses at maturity, retirement or death); and
- in many policies, a terminal / final / non-vested bonus is declared, which does not form part of the guaranteed amount but which may be added to the value of the contract.

¹ An 'inherited estate' is seen as that part of an insurer's discretionary participation fund in excess of the determinants of the amount payable under a discretionary participation policy and other provisions and reserves.

- 1.2 Delivering these product features relies on the ability of the insurer to use discretion in the operation of the discretionary participation products, in particular over the investment, smoothing and bonus policies. This, often unqualified, discretion by the insurer and the lack of transparency that may follow, affects the extent to which consumers understand the product and can feel confident that they are, or have been, treated fairly. This includes how they have been treated compared with other stakeholders (for example, shareholders in proprietary insurers or other groups of policyholders).
- 1.3 The regulatory framework already requires that the statutory actuary must be satisfied that any distinction between premiums, benefits or other values of different long-term policies is actuarially justified. In addition a long-term insurer may not award a bonus or similar benefit to a policyholder unless the statutory actuary is satisfied that it is actuarially sound and that a surplus is available for that purpose.²
- 1.4 However, there are often no specific or transparent guidelines that insurers are required to use to set out how they use their discretion. There are usually also no transparent or specific ways to show how, in doing so, they have managed any conflicts of interests and ensured policyholders are treated fairly.
- 1.5 The key elements of the requirements described in this directive are:
- to define the Principles and Practices of Financial Management (PPFM) that are applied in the management of discretionary participation products;
 - to disclose the nature and extent of the discretion used by insurers, and the parameters within which it will be used, by publishing the PPFM;
 - to ensure that decisions by the insurers are in accordance with the PPFM;
 - to monitor any changes that are made to the PPFM; and
 - an annual confirmation of compliance to the PPFM in the statutory return.

2. Application

- 2.1 This directive applies to long-term insurers that has any amount of discretionary participation business on its books. This will apply whether the insurer still writes (or used to write) discretionary participation business or if the insurer acquired discretionary participation business by way of mergers and acquisitions.
- 2.2 If a reinsurance policy is in place that is not following the direct writer's PPFM, the reinsurer will be required to submit a PPFM as well. However, the responsibility towards the policyholder remains with the direct writer.

² Refer to Section 46 of the Act

3. Defining Principles and Practices of Financial Management

- 3.1 This section describes the requirements for long-term insurers to define the PPFM they apply which will ultimately determine how the insurers will manage their discretionary participation products.

The concept of PPFM

- 3.2 The PPFM should set out the nature of the discretion retained by the Board and the parameters within which this discretion would be used. This would include an indication of the factors that would be taken into account when using discretion.
- 3.3 The **principles** to be defined:
- are enduring statements of the overarching standards the insurer adopts in managing discretionary participation products (i.e. policy conditions); and
 - describe the business model used by the insurer for managing the discretionary aspects of its discretionary participation policies (in terms of its policy conditions) and in responding to longer-term changes in the business and economic environment.
- 3.4 The **practices**:
- describe the insurer's specific approach to managing discretionary participation products and responding to changes in the business and economic environment in the shorter-term; and
 - must contain sufficient detail to enable a knowledgeable observer to understand the possible risks and rewards from effecting a discretionary participation policy with the insurer.
- 3.5 Drawing such a distinction between principles and practices should help ensure that insurers can operate with the necessary degree of flexibility in markets that will be bound to change over the long term of the fund.
- 3.6 Documenting in this way how they will operate their business – and keeping this document up-to-date – may help to improve the way in which some insurers manage and control their discretionary participation business. It might also assist insurers to take decisions on the use, or distribution of life funds, which are consistent with previous undertakings to policyholders.
- 3.7 There could also be benefits in terms of consumer understanding. Documenting the approach taken when using discretion – and making the PPFM available to policyholders, advisers and market commentators – should mean that consumers are better able to understand how their policies operate and what to expect from them.

Content of PPFM

- 3.8 Each insurer's PPFM must describe what discretion the insurer has in terms of its policy conditions and cover any issue that has or may have a significant impact on its management of discretionary participation business. The insurer must further distinguish clearly between principles and practices.
- 3.9 These issues include, but are not limited to:
- 3.9.1 Define the concept of surplus, including:
 - the methodology used to calculate the emerging surplus;
 - what elements are included in the calculation of surplus;
 - ordinary (e.g. investment returns, mortality profits) and other (non-profit business, returns from subsidiaries etc) sources of surplus; and
 - what share of the surplus is attributable to policyholders and shareholders respectively.
 - 3.9.2 How much of the surplus is available for bonuses, including:
 - the exposure of discretionary participation business to other business risk and the possible adjustment to discretionary participation funds due to this exposure;
 - the way in which the insurer applies charges and apports expenses to its discretionary participation business;
 - how the cost of guarantees, including minimum maturity and surrender values, is split between policyholders and shareholders; and
 - the insurer's management of any inherited estate and the uses to which it may put that inherited estate.
 - 3.9.3 How the insurer determines the amount payable under a discretionary participation policy, including:
 - the methods the insurer uses to guide its determination of the amount that is appropriate to pay discretionary participation policyholders;
 - the insurer's approach to setting bonus rates (including interim bonus rates);
 - the insurer's approach to setting terminal / final / non-vested bonus rates;
 - the insurer's policy regarding vesting vs. non-vesting bonuses as well as the insurer's policy regarding the removal of non-vesting bonuses; and
 - the insurer's approach to smoothing the amounts payable for discretionary participation contracts, including an explanation of when discretionary participation policyholders will benefit from smoothing and when they will be disadvantaged by smoothing.

- 3.9.4 Significant aspects of the insurer's investment policy for discretionary participation business, including:
- how asset allocation is determined, how frequently this allocation can change, the range within which it can change and when it can be changed;
 - the extent of investment in related parties³ and the nature of their business;
 - the extent of investment in negative Rand reserves and the nature of returns earned thereon;
 - the extent of investment in illiquid, unlisted and strategic assets;
 - the investment policies for discretionary participation policyholders' funds and investment policies between different discretionary participation policyholders' funds (if they differ);
 - the use of hedging – including whether hedging may be and/or is used, the circumstances under which hedging may be used, the extent and purpose of the hedging and its impact;
 - the extent of investment in treasury shares⁴; and
 - the extent of investment in collective investment schemes controlled by the insurer.
- 3.9.5 New Business:
- the insurer's practice for reviewing limits on the quantity and type of new discretionary participation business and the actions the insurer would take if it ceased to take on new discretionary participation business of any significant amount; and
 - the circumstances under which a closed fund might be opened again.
- 3.9.6 Closure of a discretionary participation policy product to new business:
- the criteria that will be considered in deciding when to close a specific DPP product (i.e. no new business written) or to merge two (or more) DPP products into a single fund; and
 - the circumstances under which a fund may be closed temporarily for new single premiums.
- 3.9.7 Conflicts of interest:
- the insurer's approach to achieving a balance between the interests of discretionary participation policyholders and the interests of any shareholders of the insurer; and
 - the insurer's approach to achieving a balance between the interests of different classes and/or generations of discretionary participation policyholders (including policyholders with varying levels of minimum bonus guarantees who may participate in the same fund); and

³ Refer to Section 26(5) of The Act

⁴ As defined in SA GAAP.

- the insurer's interpretation regarding fairness in terms of the above.

- 3.10 **Examples** of principles with associated practices are given in an annexure to this directive.
- 3.11 Insurers with more than one class of discretionary participation business should consider whether they need more than one PPFM or to cover these in separate sections within one PPFM.
- 3.12 Some insurers may already have documents in place which are similar to PPFM, as a result of prior business transfers and/or demutualisations. Such insurers may consider incorporating the previous documentation into their PPFM, but also covering any areas falling within the scope of these requirements that are not addressed in the existing documents.
- 3.13 Insurers must consider the wording of their Articles of Association (where applicable) when they compile the contents of their PPFM's.

4. Publication of the PPFM

- 4.1 It is important that the PPFM are made available to discretionary participation policyholders, their advisers and market commentators. This will be achieved by requiring insurers to:
- include a summary (or the full version) of the insurer's PPFM (or if different, the PPFM of the relevant discretionary participation product) to new (or renewing⁵) policyholders when their policy contract is sent out;
 - make existing discretionary participation policyholders aware of the fact that a PPFM (and a summary thereof) exists, what it is about and how they can obtain this document. This should be done in the annual communication (e.g. bonus letters) to policyholders; and
 - provide copies of their full PPFM, or the PPFM applicable to specific discretionary participation products, to any person that requests a copy. A reasonable charge may be made for providing a full printed copy to third parties.
- 4.2 Insurers should make the full PPFM, as well as a summary thereof, available on their websites (if they have a website).
- 4.3 For individual investment choice retirement fund business, including retirement annuities, only one PPFM needs to be made available to the trustees of such fund. It will be the trustees' duty to ensure that the appropriate information is passed on to the fund members.

⁵ A policyholder whose policy reached its maturity date, but instead of receiving the maturity value decides to invest the proceeds for a further specified term with the insurer. Some offices treat this as new business whilst others see this as a continuation of existing business.

- 4.4 The information that is given to policyholders should be presented in simple language.

5. Governance arrangements for discretionary participation business

- 5.1 This section sets out governance arrangements for discretionary participation business.
- 5.2 The initial PPFM (and any subsequent changes) must be approved by the Board of the insurer.
- 5.3 An insurer should comply with this section in a way that is appropriate to the scale and complexity of its discretionary participation business. There is a wide variation in size and complexity of discretionary participation businesses among the insurers with discretionary participation products.
- 5.4 A PPFM will be required as part of the approval process
- if an application is received for a new insurance licence where the insurer intends to write DPP business;
 - if an application is received for a change in the licensing conditions of an existing insurer affecting discretionary participation business; and
 - if some/all DPP business of an insurer is transferred to another insurer.

Establishment of a body to monitor compliance with the PPFM

- 5.5 Ultimately, the insurer's Board is responsible for the governance of discretionary participation business. Several possible options to monitor compliance with the PPFM exist. The preferred way for insurers to monitor compliance with the new PPFM is to set up a Discretionary Participation Committee (DPC), which could be constituted as a committee of the Board of the insurer, to consider the interests of discretionary participation policyholders.
- 5.6 It would help to promote policyholder confidence if DPCs included non-executive directors and/or other independent people to add an independent perspective. We prefer that the statutory actuary should not form part of the DPC but should report to it.
- 5.7 If there is an unresolved disagreement between the DPC and the statutory actuary, the statutory actuary should inform the Board.
- 5.8 The appointed members of a DPC should collectively have skills and experience relevant to the conduct of discretionary participation business and the fair treatment of discretionary participation policyholders.

- 5.9 In mutual insurers there are no potential conflicts between the interests of shareholders and policyholders. However, the Board of the insurer is still responsible for balancing the competing interests of different classes and generations of policyholders. So, while there may be less of a reason for mutuals to set up DPCs with appointed members, we consider that this would still represent good practice.
- 5.10 Establishing a DPC along these lines would be an appropriate way for many insurers to comply with the proposed new requirements. However, we recognise that cost considerations, and potential difficulties in finding suitable members for such a committee, might make this an unattractive option for some of the smaller insurers.
- 5.11 Accordingly, insurers could alternatively identify other means of monitoring compliance with the PPFM, by for instance asking an independent non-executive director or an external non-director to report to the Board on the insurer's compliance with the PPFM. Another committee of the Board (e.g. Actuarial Committee or Audit Committee) or an independent actuary could also be tasked with this function. If a DPC is not established, the alternative governance structure decided upon should be disclosed to the FSB in the statutory return.

Tasks of the Discretionary Participation Committee / proxy thereof

- 5.12 The role of a DPC will be to consider, and provide the Board of the insurer with an independent assessment of the insurer's compliance with the requirement to conduct its discretionary participation business in accordance with its PPFM. In this regard, the DPC should pay specific attention to the issues listed in paragraph 3.9.
- 5.13 It would not be a decision-making body; responsibility for decisions on the use of discretion and for the insurer's communication to discretionary participation policyholders would remain with the Board itself.
- 5.14 A DPC should present an annual report to the Board on its work and any other issues that it considers relevant. In preparing this report it should take account of written reports by the statutory actuary on proposed bonus declarations.

6. Changes to the PPFM

- 6.1 It is important that policyholders are notified of any changes to the PPFM. Any change to a principle or practice should be approved by the Board of the insurer, after discussion with its statutory actuary and the DPC / proxy thereof.
- 6.2 If there is a change to a principle, the insurer must inform the relevant policyholders and the Registrar of Long-term Insurance at least three months in advance of the effective date of the proposed change.
- 6.3 Should there be a change in the practices we would not consider it necessary for policyholders to be given advance notice. Such changes may be expected relatively frequently in response to changes in the business and economic environment. Therefore, we require insurers to inform policyholders of any changes to the practices but not to specify how, or when, this should be done. An insurer may choose, for example, to give notice in, or together with, any annual benefit statement or bonus notices sent to policyholders.
- 6.4 The Board should state in the annual statutory return how the changes to principles and/or practices affected discretionary participation business policyholders and why they believe that the changes that were made were fair to these policyholders.

7. Compliance

- 7.1 Insurers should ensure they conduct their business in line with the PPFM. The Board must report on the extent to which they have done so in the annual statutory return. In addition, the independent auditors should verify this statement.

8. Proposed transitional period and implementation timetable

- 8.1 We recognise that insurers will need time to document their PPFM and formally reflect the impact of these in financial models. However, we consider it important, to promote good governance and consumer confidence, to have these in place as soon as possible. The new G-statement will form part of the LT2007 onwards. Each insurer's PPFM should therefore be made publicly available by its 2007 year-end at the latest.

9. Information sharing

- 9.1 This directive is available on the website (www.fsb.co.za) of the Financial Services Board. Insurers must bring this directive to the attention of their appointed auditors and statutory actuaries.



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Annexure – Examples⁶ of principles with associated practices

**PRINCIPLES AND PRACTICES OF FINANCIAL MANAGEMENT OF ABC INSURANCE
COMPANY Ltd
(Applicable to discretionary participation business)**

Overriding principles

The following Overriding Principles take precedence over the other Principles.

- We will follow the requirements of all contractual obligations, and other legal and regulatory requirements. Those requirements will apply if there is any inconsistency between them and any other part of these PPFM.
- Bonuses can only be allocated if there is distributable surplus in the Long Term Fund.
- We aim to manage the business in line with the reasonable expectations of policyholders.
- When deciding what policyholders might reasonably expect, the factors other than contractual entitlements that we take into account include our past practice, industry practice, and representations we have made to policyholders.
- Subject to the above, we aim to achieve fairness of treatment between different types and groups of discretionary participation policies, and between them and the shareholders.

Declaration of bonuses:

Principles

- Common bonus rates and factors are used for appropriate groupings of policies, reflecting an element of cross-subsidy and pooling of risks for policies with similar characteristics. A single group may also contain policies with different characteristics. For instance, it may contain policies of different types, different starting or guarantee dates, different sizes, different ages of lives assured, and different types of premium.
- Payout values are managed through the bonus declaration process with adjustments for surrender and transfer values being made through Market Value Adjusters (MVA) or the surrender value bases, as appropriate.
- To retain flexibility in our investment policy and to protect the ongoing solvency of the fund, for most types of discretionary participation product we aim to keep a proportion of payout values in a non-guaranteed form and determine regular bonus rates accordingly.
- We set payout values by reference to the earnings of the underlying investments, except where guaranteed minimum benefits increase the total amount payable.
- Final bonus rates are set so that in normal investment conditions payout values change only gradually over time.

⁶ These are examples only. The FSB does not necessarily support all the statements nor does it view the contents of these examples as industry best practice.

Directive 147.A.i – Governance of Discretionary Participation Policies

- Because of their importance both to the holders of discretionary participation policies and to the financial strength of the Company, changes in bonus rates are approved by the Board where practical and reported to the Board at its next meeting in all other cases.

Practices

- The main methods, parameters and assumptions that we use are summarised in Board papers. The parameters and assumptions are derived from analysis of the experience of the Company and, where relevant, that of the industry generally.
- Changes to methods, parameters and assumptions are documented and are subject to formal approval as part of the bonus-setting process.
- We set separate rates of regular bonus (and interim bonus) in respect of the following categories of policy, usually twice a year: <list of policy categories>
- <Give a short description of how bonuses are determined.>
- We set rates of interim bonus at levels similar to the levels of regular bonus that we expect to set at the end of the coming year.